Wastepicker Welfare Foundation (WWF)

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Ref. ..... Date: .....

PROCUREMENT POLICY

(Policies & Procedures for purchase of goods and services)

Wastepickers Welfare Foundation
Regn. No. 1690

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Policy & Procedure Note on purchase of goods and service

Purpose of procurement of goods and services procedures

The purpose of procurement procedures is to ensure that:

- Procurements are made to the maximum extent possible on a practical, open and freely competitive basis
- The grant recipient obtains the maximum value for money on all its procurements of goods and services
- Procured goods and services are delivered in the correct quantity and quality and in a timely manner

Purchase of Goods

Purchase of goods can be of the following types:

1. Capital Purchases (Fixed Assets like Equipment, Interior Work, Furniture, Computers etc.)

2. Revenue Purchases (Stationery, low value durables etc.)

CAPITAL PURCHASES

Capital expenditure is expenditure:-

- which is incurred in acquiring, extending or improving a fixed asset, and
- which produces benefits for various years (minimum two years), and
- which is a non-recurring outlay

Procedure

A requisition needs to be prepared for all capital purchases, detailing the items required, the purpose of the items, approximate cost, budget availability etc.

The following rules shall be followed for all the purchases:-

1. A requisition will be prepared.

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2. Requisition can be prepared by any employee of JANPAHAL

3. Requisition shall be approved by :-

- In case of Purchases up to Rs. 10 thousand, by the Programme Head in approved Purchase committee.

    - In case of purchases up to Rs. 1 lakh, by the Programme Head in consultation with Executive Director.

    - In Case of purchase above Rs. 1 lakh but up to Rs. 2 lakhs by the purchase committee.

    - In case of purchase above Rs. 2 lakhs, by the governing board.

4. Requisition for all purchases, beyond or outside approved budgets, will clearly state this fact as such.

   All such requisition will require the approval of the director, irrespective of the amount.

5. Once approved, the user/purchase department will have to obtain at least 3 quotations for the items proposed to be purchased.

   If for some reason it becomes infeasible to obtain 3 quotations, user/purchase department will state the reason in the comparative statement.

6. For purchases above Rs 2 lakhs, the three quotations will be received in sealed covers. These will be opened jointly by the purchase committee.

   Purchase committee will also sign the comparative statement in this case.

7. After appropriate negotiations, quality inspections and reference checks, the purchase department will prepare a comparative statement of the vendors on different parameters like Price, Quality, Service levels etc. and recommend any one in the said statement.

   The comparative statement will be approved by the same authority, as is applicable for requisitions.

8. Comparative statements will be made in two copies – a copy to the purchasing department and the original to the accounts department (along with the bill for payment).

   Comparative statement will be filed by the purchase department.

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9. Once the comparative statement is approved, the organisation will raise Purchase Order (PO) on the selected vendor, clearly specifying (as may be applicable in each case)

   a. The item (Name , Code & Description)
   b. The quantities required
   c. The unit rate and total value
   d. The terms and mode of payment
   e. The delivery date
   f. The delivery mode
   g. Quality specification
   h. Testing & certification process

   Purchase Order will be made in three copies – original to the vendor, and copies for user department and accounts person.

   Purchase Order will be serially numbered and filed accordingly by the USER Department.

Receipt & Acceptance of Goods Purchased

10. On receipt of goods against a Purchase Order, Entry of Fixed Assets Register.

    The Fixed Assets Register Maintain the accounts department (along with the bill for payment).

Payments

11. The vendor`s invoice together with the original requisition, comparative statement, Purchase Order will be submitted to the accounts department by the USER at least seven working days before the due date of payment.

    The accounts department will ensure necessary supporting documents as detailed above, check for approving signatures and release the payment on the due date.

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REVENUE PURCHASES

Stationery

1. For items that are purchased regularly like stationery every year (between April – March) administration department will evaluate at least three vendors in terms of Stock availability, rate, quality, response etc.

After negotiations, quotation will be obtained for items routinely required and one amongst the three will be selected as the preferred vendor.

A comparative statement (listing the rates of the routinely required items) will be prepared, and signed off by three employees, at least one of whom will be executive director.

This Comparative statement will recommend one vendor amongst the three.

2. The preferred vendor details and the terms negotiated will be communicated to all departments. Individual departments will procure their requirements from the selected vendor.

   The Comparative statement in original will be given to the accounts department, and a copy retained with the administration department.

   Payments

3. Bills will be forwarded to the accounts department along with proof of receipt of goods (Certification/ Confirmation by the receiving department on the face of the invoice itself)

   In case of cash purchases, where a cash advance is first given to an employee for the purchase, the employee concerned has to submit the above documents and details within 72 hours of receiving the advance. Upon receiving the said documents, the accounts department will settle the advance in the books, after necessary checking.

   In case of credit purchases, bills will be paid by the accounts department within seven working days of receiving all the documents specified above.

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